

EQUITY RESEARCH · COMPANY DEEP DIVE

Eli Lilly and Company (LLY.US)

Healthcare · Drug Manufacturers - General

Large Cap (>\$200B) · Report Date: June 27, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-27

SELL

Blended Target: \$852.12

DCF + Comps + Analyst (see cross-check table)

Implied upside: -29.5%

Price (Jun): \$1208.12

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$852.12 (-29.5% vs \$1208.12); Comps 60% + Analyst 40% valuation after outlier checks.
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Eli Lilly and Company (LLY) — Healthcare. Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and... **SELL** rating; blended target \$852.12. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.08T	Shares Out.	891.7M
52-Week Range	\$623.78 – \$1215.76	P/E (TTM)	42.9x
P/B	34.6x	Beta	0.52
Avg Volume	3.29M	Analyst Rec.	Buy
Revenue (TTM)	\$72.25B	Rev Growth	+55.5%
Op. Margin	49.4%	FCF (TTM)	\$5.96B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	45,043	65,179	101,353	141,489	181,771
Revenue Growth (%)	N/A	44.7%	55.5%	39.6%	28.5%
Net Income (\$M)	10,590	20,640	32,095	44,805	57,561
Net Income Growth (%)	N/A	94.9%	55.5%	39.6%	28.5%
Gross Margin (%)	81.3%	83.0%	82.8%	82.8%	82.8%
Net Margin (%)	23.5%	31.7%	31.7%	31.7%	31.7%
ROE (%)	74.2%	77.8%	121.0%	153.2%	187.4%
EPS (\$)	11.88	23.15	35.99	50.24	64.55
Book Value / Share (\$)	16.00	29.76	29.76	32.81	34.45
P/E (x)	101.73	52.20	33.57	24.04	18.72
P/B (x)	75.49	40.60	40.60	36.83	35.07
Dividend Yield (%)	57.0%	57.0%	57.0%	57.0%	57.0%

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VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$246.56	-79.6%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median)	\$925.44	-23.4%	—	Peer median P/E 32.9x
Comps — EV/EBITDA (peer median)	\$481.62	-60.1%	—	Peer median 14.7x
Comps — P/S (peer median)	\$453.44	-62.5%	—	Peer median P/S 5.6x
Comps — Blended (avg. of available multiples)	\$481.62	-60.1%	60% (pre-cap)	Included in pre-audit blend; final target audit-capped
Analyst consensus (Yahoo Finance)	\$1222.62	+1.2%	40% (pre-cap)	Analyst consensus lags / diverges >35% from comps; Fallback blend (40%)
Blended target (weighted)	\$852.12	-29.5%	100%	Comps 60% + Analyst 40%; pre-cap \$778.02 -> \$852.12
Fallback blend (all strict checks failed)	—	—	—	All methods failed strict checks; using 60% best anchor + 40% analyst
Audit (≥30% vs price)	—	—	—	Methods diverge >30%; target anchored to Comps/Analyst consensus

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	7.50%
Terminal g	1.50%
FCFE growth	19.43%
Base FCFE	\$5.96B
PV explicit (5Y)	\$42.86B
PV terminal	\$177.01B
Equity value (adj.)	\$219.87B
Implied price	\$246.56
vs. current	-79.6%

INDUSTRY ANALYSIS

1. Industry Overview

Eli Lilly and Company discovers, develops, manufactures, and markets human pharmaceutical products in the United States, Europe, China, Japan, and internationally. The company offers cardiometabolic health products, including Basaglar, Humalog, Humalog Mix 75/25, Humalog U-100, Humalog U-200, Humalog Mix 50/50, insulin lispro, insulin lispro protamine, insulin lispro mix 75/25, Humulin,...

2. Key Trends

- Strong top-line growth (55.5% YoY)
- High operating leverage (49.4% margin)
- Defensive profile (β=0.52)
- Sector: Healthcare | Industry: Drug Manufacturers - General

3. Risk Factors

- Elevated leverage (D/E: 139%)
- Premium valuation (P/E: 42.9x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MRK	Merck & Company, Inc.	\$317.77B	36.2x	12.2x	13.6%	+4.9%
ABBV	AbbVie Inc.	\$447.62B	123.6x	17.1x	5.8%	+12.4%
PFE	Pfizer, Inc.	\$138.44B	18.5x	7.5x	11.8%	+5.4%
JNJ	Johnson & Johnson	\$613.02B	29.5x	18.8x	21.8%	+9.9%
LLY*	Eli Lilly and Company	\$1.08T	42.9x	30.8x	35.0%	+55.5%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.